- Employee relations is a study of the rules, regulations & agreements by which employees are managed both as individuals and as a collective group, the priority given to the individual as opposed to the collective relationship varying between companies depending on the values of the management.
- It is concerned with how to gain people's commitment to the achievement of the organization's business goals & objectives in a number of different situations.
- Employee relations management is about ensuring that organizational change is accepted and then implemented.

- Attitudes to work and relationships at work have certainly changed since the late 1970s.
- The reason for this have been increased competition, reductions in international trade barriers, public sector financial constraints, pressures for higher value-for-money, rapidly changing & easily transferable technologies and customer demands for products and service increasingly customized to their needs.

Employees Relations: Meaning

- ‘Employee Relations’ refers to the interrelationships, both formal and informal, between the regulation of the relationship principally by means of collective bargaining. managers and those whom they mange.

- Thus, employee relations have a wider scope than ‘industrial relations’. The employee relations are concerned with all aspects of the interrelationship between management and employees and ‘industrial relations’ is confined to

The components of employee relations:

1. Players
2. Mechanism
3. External environment
4. Bargaining power

Employee relations systems in an organization have a number of components. **First there are the 'players'** in employee relations activities. These players are:

1. individual employers
2. individual employees
3. employee representative bodies (staff associations, trade unions, work councils etc)
4. employers' associations
5. public bodies

- These players operate in a labor market in which they attempt to protect and advance their respective economic interests relative to each other.
- Employees in the labor market have interest that is different from the employers, both have a common interest in the survival of the employing enterprise.
- They have a mutual interest in resolving the problem because not to do so will result in mutual destruction.

- The employee relations ‘players’ also have expectations of how each will behave towards the other. This is referred to as the ‘**psychological contract**’, a set of unwritten reciprocal expectations between an individual employee and the organization.

- These are job satisfaction, career progression and reward, relationships with managers, wellbeing (employment security, skill development etc) and technology upgrading.

Second, there are **mechanisms** available to the buyers and sellers of labor services by which will govern the employment relationship and at the same time accommodate their different economic interest. These mechanisms include:

- consultation
- employee involvement and participation
- communication process
- collective bargaining
- legal regulation

- The **third** component is the **external environment**. The selling & buying of labor services also takes place in the context of an external environment. The Omani government sets minimum standards of behavior for the buyer and sellers of labor services.

- Employee relations system is also influenced by the balance of **bargaining power** at the sector and enterprise level. If a group of workers who have the power to stop an organization's activities are willing to exercise that power and have exercised it successfully in the past, they will have a relatively greater bargaining power. This is the fourth component of employee relation.

Third parties such as Government ministers, arbitrators, judges & civil servants may see employee relations more in terms of:

1. Creating & maintaining harmonious relationships at work
2. Creating a framework of rules of fair conduct in employer-employee relations
3. Representing the community as a whole in dealing with the repercussions (results) of internal conflicts of decisions made within individual organizations
4. Establishing peace-making arrangements to deal with breakdowns in employer-employee relations
5. Achieving a prosperous society with justice.

Reconciliation by means of Processes leading to Agreements that reflects the balance of bargaining power between buyers & sellers of labor as influenced by the economic and legal policies of governments, and the implementation of technological change.

Third-party intervention:

- In situations where the employer and employees are unable to resolve their collective differences, they may agree voluntarily to seek the assistance of an independent third party.

It can take three forms:

- **Conciliation**
- **Mediation**
- **Arbitration**

Conciliation:

- In conciliation, the role of the third party is to keep two sides talking and assist them to reach their own agreement.
- **Conciliation** is a dispute resolution mechanism whereby the parties to a dispute (including future interest disputes) agree to utilize the services of a conciliator, who then meets with the parties separately in an attempt to resolve their differences.
- He does this by lowering tensions, improving communications, interpreting issues, providing technical assistance, exploring potential solutions and bringing about a negotiated settlement.
- The conciliator acts as a link between the disputing parties.
- The conciliator does not impose any action or decision on the parties.

Mediation:

- Mediation is a way of dealing with dealing with conflict or disputes that aims to enable the parties involved to reach an agreement that satisfies everyone.
- A mediator listens to the arguments of the two sides and makes recommendations on how their differences might be resolved. The parties are free to accept or reject these recommendations.
- The process is totally voluntary and no one can be forced to take part.
- Mediators are impartial and won't take sides, make judgments or lay blame.
- The mediation process is totally confidential and no information given by either party will be shared unless permission is given.
- Any agreement reached can be informal and voluntary or the parties can choose to make it formal by having a legal document drawn up based on agreements reached in the mediation.

Arbitration:

- Arbitration removes from employers & employees control over the settlement of their differences.
- The arbitrator hears both sides case and decides the solution to the parties' differences by making an award.
- Both parties having voluntarily agreed to arbitration are morally obliged, but not legally bound, to accept the arbitrator's award.

In Oman, Article 96 of Labor Law states that unsolved disputes could refer to arbitration. The arbitration will be composed of:

1. A representative of H.M. who has no connection with the two parties
2. A representative of the employer member
3. A representative to the board appointed by the minister
4. A secretary to the board appointed by the minister.

- The board has the right to call a witness, appoint experts, and inspect places & documents and so on. The decision reached will be binding on both the parties.

Industrial sanction:

- The use of industrial sanction is generally a last resort because it is costly to both sides to impose them on each other.

The main sanctions available to the employer are:

1. closing down the factory
2. relocating operations to another side
3. dismissing employees who participate in industrial action

- The main industrial sanctions that employees can impose on employers are:

1. a ban on overtime
2. working to rule
3. imposing a selective strike
4. calling an all-out strike